Staff Report: June 2026

Date: June 23, 2026
To: Board of Directors- Soledad-Mission Recreation District
Agenda Item: Public Hearing Resolution 2026-06.01 SMRD Parcel Tax
Report by: Frances Bengtson, Executive Director

Summary: This item is a public hearing and formal vote on the resolution to move forward a Parcel tax initiative on the November 2026 Ballot the Public Hearing and Resolution are both necessary documents to place this on the ballot. The Resolution and attachments have been reviewed by District Counsel with on a few recommended and applied changes. Public hearing is being conducted pursuant to Government Code Section 50077 to receive public testimony before the Board considers calling the election and placing the measure on the November 3, 2026 ballot.

Background: The District has undergone a feasibility analysis of the viability of various revenue generating initiatives available to special districts, weighed the needs and the drawbacks of each model. The District then completed a Survey of the community which fairly positive results in May of 2026. The District also completed a large deferred maintenance project, partially funded by state grants but primarily funded through District Financing. Increasing the Annual Debt payment from $52,000 annually to $111,000 annually. Also the District has heard across many years and many communication streams the need for affordable programming in Soledad. The Soledad-Mission Recreation District is considering placement of a special tax measure on the November 3, 2026 ballot to provide locally controlled funding for recreation programs, aquatic services, facility maintenance, staffing, accessibility improvements, and long-term capital needs. The proposed measure would levy a special tax of $0.035 per building square foot on improved parcels within the District and is estimated to generate approximately $292,000 annually. The measure includes accountability provisions, including annual reporting, independent audits, and a Citizens' Oversight Committee. If approved by the Board, the measure would be submitted to District voters at the November 3, 2026 Statewide General Election and would require approval by two-thirds of voters voting on the measure.

Agenda:

1. PUBLIC HEARING Pursuant to Government Code Section 50077: Regarding proposed Affordable Recreation Parcel Tax Measure
   a. Receive Public Testimony.
   b. Close the Public Hearing
2. Adoption of Resolution No. 2026-06.01 Ordering a Special Tax Election, Requesting the County of Monterey, conduct the election, and requesting consideration with the November 3, 2026 Statewide General Election.

Motion made by	Desiree Barron
Motion Seconded by	Jackson Kescker
Yeses	J. Kescker, D. Barron, R. Hunter, K. Kleme
Noes	
Abstain	
Absent	1 Vacancy exists

Public Hearing Procedure (Script)

Board President: Open Public Hearing

"This is the time and place noticed for the public hearing regarding the proposed Affordable Recreation Special Tax Measure and the consideration of a resolution calling a special tax election on November 3, 2026.
The purpose of this hearing is to receive public comments regarding the proposed measure before the Board considers whether to place the measure before the voters.
I now declare the public hearing open."

Staff Presentation

Executive Director presents staff report and summarizes:

- Need for additional funding
- Proposed tax structure
- Estimated annual revenue
- Intended uses of funds
- Accountability measures
- Election timeline

Public Comment

"At this time, members of the public may address the Board regarding the proposed measure. Please state your name for the record. Comments will be limited to three minutes per speaker."
Allow public testimony.

Close Public Hearing

After all comments:
"Are there any additional comments from the public?
Seeing none, I hereby close the public hearing."

Board Discussion and Action

"The Board will now deliberate and consider Resolution No. 2026-06.01 Ordering a Special Tax Election, Requesting the County of Monterey Conduct the Election, and Requesting Consolidation with the November 3, 2026 Statewide General Election."

RESOLUTION NO. 2026-06.01

RESOLUTION OF THE BOARD OF DIRECTORS OF THE
SOLEDAD-MISSION RECREATION DISTRICT

ORDERING A SPECIAL TAX ELECTION,
REQUESTING THE COUNTY OF MONTEREY TO CONDUCT THE ELECTION,
AND REQUESTING CONSOLIDATION WITH THE
NOVEMBER 3, 2026, STATEWIDE GENERAL ELECTION

WHEREAS, the Soledad-Mission Recreation District ("District") is an independent special district organized and operating under the Recreation and Park District Law, Public Resources Code Section 5780 et seq., providing recreation programs, aquatic facilities, parks, and related services to the residents and property owners within its boundaries; and

WHEREAS, the District's primary dedicated tax revenue is a share of the one percent ad valorem property tax allocated to the District, reflecting a founding tax rate of $0.17 per $100 of assessed value established at the District's formation in 1962 and not increased since, and this revenue, together with the District's other revenues, is insufficient to meet the District's current and projected operational, programmatic, and capital needs; and

WHEREAS, the District has identified needs for ongoing facility maintenance, staffing, administration, recreation programming, and capital reserves to sustain community services, including the Soledad Swimming Pool; and

WHEREAS, pursuant to Public Resources Code Section 5789.1, a recreation and park district may levy special taxes pursuant to Article 3.5 (commencing with Section 50075) of Chapter 1 of Part 1 of Division 1 of Title 5 of the Government Code, and such special taxes shall be applied uniformly to all taxpayers or all real property within the district, except that unimproved property may be taxed at a lower rate than improved property; and

WHEREAS, pursuant to Government Code Section 50077, the legislative body of a district may, following notice and public hearing, propose by ordinance or resolution the adoption of a special tax, including the type and rate of tax to be levied, the method of collection, and the date upon which an election shall be held; and

WHEREAS, notice of the time, date, and place of a public hearing on the proposed special tax was duly given in accordance with applicable law, and on June 23, 2026, the Board of Directors held a duly noticed public hearing pursuant to Government Code Section 50077, at which all persons interested in the proposed special tax were given an opportunity to be heard, and following the conclusion of which the Board of Directors determined to proceed with this resolution; and

WHEREAS, the calling of an election to submit a special tax measure to the voters is not a "project" subject to review under the California Environmental Quality Act (Public Resources Code Section 21000 et seq.) pursuant to CEQA Guidelines Section 15378(b)(4), as the action constitutes the creation of a government funding mechanism that does not involve any commitment to a specific project that may result in a potentially significant physical impact on the environment; and

WHEREAS, pursuant to Government Code Section 50075.1, any special tax measure subject to voter approval shall provide accountability measures including a statement of specific purposes, a requirement that proceeds be applied only to those purposes, creation of a dedicated account, and an annual report pursuant to Government Code Section 50075.3; and

WHEREAS, Article XIII A, Section 4 of the California Constitution and Article XIII C, Section 2(d) of the California Constitution require that any special tax imposed by a special district be submitted to the electorate and approved by a two-thirds (2/3) vote; and

WHEREAS, the Board of Directors has determined that a special tax on parcels of real property within the District, as set forth in the full text of the measure attached hereto as Exhibit A and incorporated herein by this reference, is necessary and appropriate to provide additional funding for the purposes described therein; and

WHEREAS, pursuant to Elections Code Section 10002, the governing body of any district may by resolution request the Board of Supervisors of the county to permit the county elections official to render specified services to the district relating to the conduct of an election, and the district shall reimburse the county in full for services performed; and

WHEREAS, pursuant to Elections Code Sections 10400 and 10403, the District may request consolidation of this election with any statewide election, provided the resolution is filed at least 88 days prior to the election;

NOW, THEREFORE, BE IT RESOLVED AND ORDERED by the Board of Directors of the Soledad-Mission Recreation District as follows:

1. The Board of Directors hereby finds and determines that the foregoing recitals are true and correct and are incorporated herein by this reference.

2. Pursuant to Elections Code Sections 10400 and 10403, and Government Code Section 50077, the Board of Directors hereby orders that an election be called and consolidated with any and all elections also called to be held on November 3, 2026, within the same territory or in territory that is in part the same as the territory of the District.

3. Pursuant to the California Constitution, Government Code Section 50077, and Public Resources Code Section 5789.1, an election shall be held within the boundaries of the District on November 3, 2026, for the purpose of voting on a measure ("Measure") which will be presented to voters in substantially the form attached hereto as Exhibit A, containing the question of whether the District shall impose a special tax for the purposes stated therein. The full text of the Measure shall appear in the voter information guide in substantially the form attached hereto as Exhibit A. The Monterey County Elections Department shall conduct the election and submit to the electorate the following question:

   Soledad-Mission Recreation District (Soledad Rec) Affordable Recreation Measure. To maintain park/ recreation programs, such as: helping keep recreation programs affordable; improving accessibility of services/ facilities for people with disabilities; maintaining recreation/ swim programs for all ages; and supporting toddler programs like T-Ball, soccer, tumbling/ day camp; shall the Soledad-Mission Recreation District's measure, levying a tax of 3.5¢ per building square foot, until ended by voters, with annual adjustments, and independent citizens' oversight, providing approximately $292,000 annually, be adopted?

4. Pursuant to provisions of the Measure, if adopted by voters, the special tax shall be collected by the Monterey County Tax Collector at the same time, in the same manner, and subject to the same penalties as ad valorem property taxes. With respect to all general property tax matters within its jurisdiction, the Monterey County Tax Collector or other appropriate County official shall make all final determinations of tax exemption or relief for any reason, and that decision shall be final and binding. With respect to matters specific to the levy of the special tax, the decisions of the District shall be final and binding.

5. The authority for ordering the election is contained in the Elections Code, Government Code, Public Resources Code, and California Constitution.

6. The voter approval requirement for this Measure is two-thirds (2/3) of the votes cast by voters voting upon the Measure, as required by Article XIII A, Section 4, and Article XIII C, Section 2(d), of the California Constitution.

7. Pursuant to Elections Code Section 10002, the Board of Directors hereby requests the Board of Supervisors of the County of Monterey to permit the Monterey County Elections Department to provide any and all services necessary for conducting the election and agrees to pay the County in full for election services performed.

8. The Board of Directors hereby requests that this election be consolidated with any and all elections also called to be held on November 3, 2026, within the same territory or in territory that is in part the same.

9. The Executive Director, or designee, is hereby directed to cause certified copies of this resolution and order, together with the full text of the Measure (Exhibit A) and the Notice to the Registrar of Voters (Exhibit B), to be delivered to the Monterey County Elections Department and the Clerk of the Board of Supervisors no later than 5:00 p.m. on August 7, 2026, which is 88 days prior to the date of the election.

10. The Monterey County Elections Department is hereby requested to print the full text of the Measure (Exhibit A) in the voter information guide for the November 3, 2026, election. The cost of printing and distribution shall be paid by the District.

11. The Board President and/or designees are hereby authorized to prepare and file with the Monterey County Elections Department any ballot argument prepared in connection with the election, including a rebuttal argument, each within the time established by the Elections Department, which shall be considered the official ballot arguments of the Board as sponsor of the Measure.

12. The Board President, Executive Director, and their respective designees are hereby authorized and directed to execute any documents, to make non-substantive, technical, or clerical changes to the Measure or ballot question as may be reasonably required by the Monterey County Elections Department or by applicable law, and to perform all acts necessary to place the Measure on the ballot and to otherwise effectuate the purposes of this resolution.

13. If any section, sentence, clause, phrase, or portion of this resolution is for any reason held to be invalid or unenforceable by a court of competent jurisdiction, the remaining portions shall remain in full force and effect.

14. This resolution shall take effect immediately upon its adoption.

PASSED AND ADOPTED by the Board of Directors of the Soledad-Mission Recreation District this 23 day of June 2026, by the following vote:

AYES:
NOES:
ABSTENTIONS:
ABSENT:

EXHIBIT A

Full Text of the Measure

SOLEDAD-MISSION RECREATION DISTRICT
AFFORDABLE RECREATION SPECIAL TAX MEASURE

Soledad-Mission Recreation District (Soledad Rec) Affordable Recreation Measure. To maintain park/ recreation programs, such as: helping keep recreation programs affordable; improving accessibility of services/ facilities for people with disabilities; maintaining recreation/ swim programs for all ages; and supporting toddler programs like T-Ball, soccer, tumbling/ day camp; shall the Soledad-Mission Recreation District's measure, levying a tax of 3.5¢ per building square foot, until ended by voters, with annual adjustments, and independent citizens' oversight, providing approximately $292,000 annually, be adopted?

Findings and Declarations

The people of the Soledad-Mission Recreation District find and declare all of the following:

(a) The Soledad-Mission Recreation District is an independent special district established on September 11, 1962, under the Recreation and Park District Law (Public Resources Code Section 5780 et seq.) to provide recreation services, aquatic programming, youth sports, day camps, and community programs to residents of the Soledad area and surrounding rural communities.

(b) The District's primary dedicated tax revenue is a share of the one percent ad valorem property tax allocated to the District, reflecting a founding tax rate of $0.17 per $100 of assessed value established at the District's formation in 1962 and not increased since.

(c) The District's primary facility, the Soledad Swimming Pool, was originally constructed in 1972 and serves a broad cross-section of the community, including youth, seniors, families, and individuals with special needs.

(d) The District's existing revenue is insufficient to fully fund the facility maintenance, staffing, recreation programming, and capital investment needed to sustain services for the community.

(e) A locally controlled, voter-approved special tax will provide stable, dedicated funding that remains within the District for the purposes described in this measure.

Definitions

For purposes of this measure, the following terms have the following meanings:

"Board of Directors" means the Board of Directors of the Soledad-Mission Recreation District.

"District" means the Soledad-Mission Recreation District.

"Parcel" means a unit of real property within the boundaries of the District that receives a separate tax bill for ad valorem property taxes from the Monterey County Tax Collector. All public property that is otherwise exempt from or upon which no ad valorem property taxes are levied in any year shall also be exempt from the special tax in such year.

"Building" means any structure having a roof supported by columns or by walls and designed for the shelter or housing of any person or property of any kind. The word "building" includes the word "structure" and encompasses, without limitation, all residential, commercial, and industrial structures.

"Building Square Footage" means the building area attributed to a Parcel as reflected in the records of the Monterey County Assessor. Where such records are unavailable, incomplete, or inaccurate, the District may determine Building Square Footage using other reliable information available to the District.

"Improved Parcel" means a Parcel on which exists any Building.

"Unimproved Parcel" means a Parcel on which no Building exists.

Purpose and Use of Funds

Revenue from this special tax shall be used exclusively for the following purposes:

(a) Maintenance and operation of the Soledad Swimming Pool and other District facilities, including routine repairs, equipment replacement, utilities, pool supplies, and capital upkeep;

(b) Staffing, including lifeguards, recreation coordinators, maintenance personnel, and administrative support necessary to operate District facilities and deliver programs;

(c) Recreation programs, including but not limited to swim lessons, water aerobics, youth swim team, lifeguard training, day camps, youth sports leagues, martial arts, senior programs, and community events;

(d) Capital improvements and reserves for the renovation, expansion, and long-term preservation of District facilities, including the Soledad Swimming Pool, parks, and community spaces;

(e) Administrative costs directly associated with the collection, management, and oversight of special tax funds, not to exceed ten percent (10%) of annual special tax revenue.

Amount and Basis of Tax

Upon approval of two-thirds of those voting on this Measure, the District shall be authorized to levy an annual special tax on all Improved Parcels within the District, commencing July 1, 2027, and continuing until ended by the voters of the District. For fiscal year 2027-28, the maximum special tax rate shall be $0.035 per building square foot. No special tax shall be levied on Unimproved Parcels.

The special tax applies uniformly to all Improved Parcels within the District. Consistent with Public Resources Code Section 5789.1, which expressly permits unimproved property to be taxed at a lower rate than improved property, Unimproved Parcels are taxed at a rate of zero.

This special tax is estimated to raise approximately $292,000 in annual local funding for the District. The amount of annual local funding raised by this special tax may vary from year to year due to changes in the number of Parcels exempt from the levy, changes in building square footage, and other factors.

The District annually shall provide to the Monterey County Tax Collector a report indicating the parcel number and amount of tax for each Parcel.

Beginning with fiscal year 2028-29, the Board of Directors may, in its discretion, increase the maximum special tax rate above the maximum rate authorized for the immediately preceding fiscal year by an amount not to exceed the annual percentage increase in the Consumer Price Index for All Urban Consumers (CPI-U) for the San Francisco-Oakland-Hayward metropolitan area, as published by the United States Bureau of Labor Statistics; provided, however, that the increase shall not exceed three percent (3%) in any fiscal year. The maximum special tax rate established for a fiscal year shall become the maximum authorized rate for that fiscal year and shall serve as the basis for calculating any subsequent adjustment. The Board of Directors may levy the special tax in any fiscal year at any rate not exceeding the maximum authorized rate for that fiscal year.

Computation and Claim Procedures

In determining whether a Parcel is an Improved Parcel or Unimproved Parcel and for determining the building square footage for levy of the special tax, the District shall refer to the data reported by the Monterey County Assessor, except in cases of demonstrable error, in which case either the property owner may file a claim with the District for re-computation of the tax or the District will re-compute the tax and provide notice to the owner of the re-computation and the right to appeal in accordance with the procedures established by the District.

With respect to all general property tax matters within its jurisdiction, the Monterey County Assessor or other appropriate County official shall make all final determinations of tax exemption or relief for any reason, and that decision shall be final and binding. The decisions of the District regarding refunds, reductions, or re-computations specific to this special tax shall be final and binding.

Appropriations Limit

Pursuant to California Constitution Article XIIIB and applicable laws, the appropriations limit for the District will be adjusted periodically by the aggregate sum collected by levy of this special tax. This provision shall be deemed to be declaratory of existing procedures governing
District expenditures.

No Reduction of Other Revenue

The special tax is not intended to decrease or offset any federal, state, or local revenue, or any revenue from a private funding source, that is available to the District or becomes available in the future.

Collection

The special tax shall be collected by the Monterey County Tax Collector at the same time, in the same manner, and subject to the same penalties as ad valorem property taxes, pursuant to an agreement entered into between the District and the County of Monterey. All laws, regulations, and procedures regarding due dates, installment payments, corrections, appeals, cancellations, refunds, late payments, penalties, and collections for secured roll ad valorem property taxes shall be applicable to the collection of the special tax. The secured roll tax bill shall be the only notice required for collection of the special tax. The Tax Collector may deduct its reasonable administrative costs incurred by collecting the special tax before remitting the balance to the District.

Accountability Measures

Separate Account. Proceeds of this Measure shall be deposited into an account which is separate and apart from other accounts of the District and applied only to the purposes set forth herein, in accordance with Government Code Section 50075.1(c).

Annual Report. Pursuant to Government Code Section 50075.3, the chief fiscal officer of the District shall file an annual report with the Board of Directors no later than January 1 of each year while the tax is in effect. The annual report shall contain (i) the amount of special tax funds collected and expended during the prior fiscal year, and (ii) the status of any project or program required or authorized to be funded by the special tax. The findings of the annual report shall be presented to the Board of Directors at a regular public meeting.

Independent Audit. The special tax funds shall be included in any independent audit of the accounts and records of the District.

Citizens' Oversight Committee. Within twelve (12) months following the first levy of the special tax, the Board of Directors shall establish, by separate resolution, an independent Citizens' Oversight Committee composed of residents of the District. The composition, terms of service, qualifications, meeting schedule, and procedures of the Committee shall be determined by the Board of Directors. The Committee shall annually review the report required by Government Code Section 50075.3 and the independent audit of special tax funds and shall present its findings to the Board of Directors at a regular public meeting.

Term

This special tax shall remain in effect until ended by the voters of the District. The special tax may be terminated, repealed, or amended in a manner that reduces the maximum authorized rate or alters the duration of the levy only upon approval of the qualified electors of the District voting on the proposed termination, repeal, or amendment.

Severability

The Board hereby declares, and the voters by approving this Measure concur, that every section and part of this Measure have independent value, and the Board and the voters would have adopted each provision hereof regardless of every other provision hereof. Upon approval of this Measure by the voters, should any part of the Measure or tax rate be found by a court of competent jurisdiction to be invalid for any reason, all remaining parts of the Measure and/or tax rate shall remain in full force and effect to the fullest extent allowed by law.

****** END FULL TEXT******

EXHIBIT B

NOTICE TO THE REGISTRAR OF VOTERS
MEASURE TO BE SUBMITTED TO THE VOTERS

SOLEDAD-MISSION RECREATION DISTRICT

To the Registrar of Voters of Monterey County:

Notice is hereby given that the Soledad-Mission Recreation District has approved a measure to be placed on the November 3, 2026, ballot.

The aforementioned District advises Monterey County Elections as follows:

☒ The 75-word or less ballot question set forth in Section 3 of the Resolution is to appear on the ballot (Elections Code §§ 303, 9051, 10403, 13247).

☒ The attached full text of the measure (Exhibit A):

☒ (a) is to be printed in full in the voter information guide. Cost of printing and distribution of the measure text will be paid for by the District.

☐ (b) is not to be printed in the voter information guide, and instead the elections official agrees to send a copy to voters upon request at the cost of the District (Elections Code §§ 9160, 9312).

☒ Said measure requires two-thirds (2/3) voter approval.